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Case Number: 26STCV07159 Hearing Date: September 14, 2026 Dept: 529

ADE KESTER VS PHH MORTGAGE SERVICES,
INCS., ET AL.

DEFENDANT'S DEMURRER TO THE
COMPLAINT

Date of Hearing: September
14, 2026 Trial Date: None
set.

Department: 529 Case
No.: 26STCV07159

Moving Party: Defendants

Onity Mortgage Corporation, formerly known as PHH Mortgage Corporation, U.S.
Bank National Association as Trustee for Lehman XS Trust, Series 2006-GP3, and
Western Progressive, LLC

Responding Party: Plaintiff
Ade Kester

Meet and Confer: Yes.

BACKGROUND

On

March 5, 2026, Plaintiff Ade Kester filed a complaint against PHH Mortgage
Services, Inc., U.S. Bank National Association as Trustee for Lehman XS Trust,

Series 2006-GP3, and Western Progressive, LLC for (1) Wrongful Foreclosure; (2) Violation of California Homeowner Bill of Rights; (3) Negligence; (4) Promissory Estoppel; and (5) Unfair Business Practices (Bus. & Prof. Code §17200).

[Tentative] Ruling

Defendants Onity Mortgage Corporation,
formerly known as PHH Mortgage Corporation, U.S. Bank National Association as
Trustee for Lehman XS Trust, Series 2006-GP3, and Western Progressive, LLC's
Demurrer's to the Complaint is SUSTAINED WITH LEAVE TO AMEND.

REQUEST FOR JUDICIAL NOTICE

Defendants Onity Mortgage Corporation,
formerly known as PHH Mortgage Corporation, U.S. Bank National Association as
Trustee for Lehman XS Trust, Series 2006-GP3, and Western Progressive, LLC
request this court take judicial notice of several Quitclaim Deeds, Deeds of
Trust, and other documents recorded with the Los Angeles County Recorder's
Office. (RJN, Exhs. 1 – 43.)

The court GRANTS the request for
judicial notice as to the existence of these documents.

DISCUSSION

Defendants Onity Mortgage Corporation,
formerly known as PHH Mortgage Corporation, U.S. Bank National Association as
Trustee for Lehman XS Trust, Series 2006-GP3, and Western Progressive, LLC
demur to the complaint on the grounds the first, second, third, fourth, and
fifth causes of action fail to state facts sufficient to constitute a claim
against Defendants.

A demurrer for sufficiency tests
whether the complaint states a cause of action. (Hahn v. Mirda (2007)
147 Cal.App.4th 740, 747.) When considering demurrers, courts read the
allegations liberally and in context. In a demurrer proceeding, the defects
must be apparent on the face of the pleading or via proper judicial notice. (Donabedian
v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the
pleadings alone and not the evidence or other extrinsic matters. Therefore, it

lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (*Semole v. Sansoucie* (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (*S. Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

Dual Tracking

Defendants first demur to the complaint on the grounds Plaintiff fails to state a dual tracking claim against Defendants.

Civil Code

section 2923.6 prohibits lenders from initiating foreclosure proceedings while simultaneously reviewing the borrower’s application for loan modification.

Defendants argue Plaintiff does not state facts establishing a dual-tracking violation. Here, Plaintiff has alleged Plaintiff accepted and violated not only one, but two such modifications. First, Plaintiff obtained the First Modification and defaulted on that. (RJN, Exhs. 8, 9.) Then, Plaintiff obtained a Second Modification – and defaulted on that loan too. (RJN, Exhs. 23, 24, 27, 31.) Moreover, the complaint fails to allege that he submitted documentation indicating a “material change in financial circumstances” in connection with his loan modification request in October 2025. To obtain a third loan modification, Defendants contend Plaintiff would have had to document a material change in financial circumstances and submit such documentation to Defendants.

In opposition, Plaintiff argues the alleged timing falls within the conduct addressed by Section 2923.6 and *Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, which recognizes that Civil Code section 2923.6 “is all about timing” and held that failure to properly conclude a modification review and provide the required written disposition and appeal opportunity may constitute a material violation. Plaintiff contends that the complaint sufficiently alleges that PHH represented

on several occasions that foreclosure activity was on hold while the application was in review, yet the trustee's sale occurred shortly thereafter. Moreover, subdivision (g) expressly contemplates successive applications where a material change in financial circumstances has been documented and submitted to the servicer. (Civ. Code, § 2923.6(g).)

The court finds Plaintiff has not sufficiently alleged a claim for violation of Civil Code section 2923.6. As noted by Defendants, Section 2923.6(c)(3) addresses the situation where a borrower has previously accepted a loan modification but subsequently defaults on or breaches their obligations under that modification. Under this section, foreclosure proceedings may resume when the borrower accepts a written first lien loan modification but then defaults on or otherwise breaches the borrower's obligations under the first lien loan modification. The court notes Plaintiff's reliance on subdivision (g); however, Plaintiff has not alleged a material change in the borrower's financial circumstances since the date of the previous application.

Wrongful Foreclosure

Defendants demur to the wrongful foreclosure cause of action on the grounds Plaintiff fails to allege that the foreclosure was illegal, fraudulent or willfully oppressive and Plaintiff did not meet the tender requirement.

To maintain a wrongful foreclosure claim, a plaintiff must allege that "(1) the defendants caused an illegal, fraudulent, or willfully oppressive sale of the property pursuant to a power of sale in a mortgage or deed of trust; (2) the plaintiff suffered prejudice or harm; and (3) the plaintiff tendered the amount of the secured indebtedness or was excused from tending." (Chavez v. Indymac Mortgage Services (2013) 219 Cal.App.4th 1052, 1062.) "Recognized exceptions to the tender rule include when: (1) the underlying debt is void, (2) the foreclosure sale or trustee's deed is void on its face, (3) a counterclaim offsets the amount due, (4) specific circumstances make it inequitable to enforce the debt against the party challenging the sale, or (5) the foreclosure sale has not yet occurred." (Ibid.) Furthermore, "[t]ender is not required where the foreclosure sale is void, rather than voidable, such as when a plaintiff proves that the entity lacked the authority to foreclose on the property." (Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1100.)

Defendants first argue Plaintiff has not alleged any illegal, fraudulent, or willfully oppressive conduct that would suffice to allow a wrongful foreclosure claim. Defendant contends Plaintiff bases his wrongful foreclosure claim upon only two potential grounds: (1) dual tracking under Section 2923.6, and (2) failure to mail notice of trustee's sale under Civil Code Section 2924b ("Section 2924b"). As noted above, the court has found Plaintiff has not sufficiently alleged a claim for dual tracking under Section 2923.6. As for the failure to mail notice, Defendants argue Plaintiff cannot hide behind any alleged violations of Section 2924b, as the recorded deeds and his own allegations show that he was well aware of Defendants' imminent foreclosure of the Property. (See *Lehner v. United States* (9th Cir. 1982) 685 F.2d 1187, 1190.)

The court disagrees, in part. *Lehner* addressed only whether oral notice satisfied federal constitutional minimums, while California Civil Code Section 2924b establishes specific statutory requirements. As noted by the court in *Knapp v. Doherty* (2004) 123 Cal.App.4th 76, 88, "[t]he trustor need not receive actual notice of the trustee's sale so long as notice is provided to the trustor that is in compliance with the statute." Similarly, Sections 2924 – 2924h does not "require actual receipt by a trustor of a notice of default or notice of sale. They simply mandate certain procedural requirements reasonably calculated to inform those who may be affected by a foreclosure sale and who have requested notice in the statutory manner that a default has occurred and a foreclosure sale is imminent." (*Lupertino v. Carbahal* (1973) 35 Cal.App.3d 742, 746–747.) However, as further discussed below, Plaintiff has not sufficiently alleged he paid or could have paid the debt to stop the foreclosure. (See *Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104.)

Next, Defendants argue Plaintiff did not meet the tender requirements. Defendants contend "as a condition precedent to an action by the borrower to set aside the trustee's sale on the ground that the sale is voidable because of irregularities in the sale notice or procedure, the borrower must offer to pay the full amount of the debt for which the property was security." (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 112.) Here, Defendants argue nowhere in the complaint does Plaintiff allege that he offered to pay the full outstanding debt owed to Defendants. This automatically dooms Plaintiff's wrongful foreclosure claim.

In opposition, Plaintiff argues

Defendants ignore the recognized exceptions to tender, which include where tender would be inequitable. Here, requiring full tender where the alleged wrongdoing consisted of foreclosing before completion of a modification process would defeat the purpose of that process. Plaintiff also says if additional facts concerning tender or an applicable exception are required, leave to amend should be granted.

The court agrees Plaintiff has not alleged facts sufficient to show exception to tender. Accordingly, the court SUSTAINS the demurrer to the first cause of action.

Civil Code sections 2924, et seq.

Defendants argue this claim fails for three reasons: (1) it is duplicative of the wrongful foreclosure claim; (2) “mere technical violations of the foreclosure process will not give rise to a tort claim[]” (Miles v. Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 409); and (3) Plaintiff fails to allege he paid or could have paid the debt to stop the foreclosure. (See Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 104.)

First, the court agrees the cause of action is duplicative of the wrongful foreclosure cause of action. Civil Code section 2924b is not its own independent cause of action in the sense of creating a new legal claim for damages. Moreover, Plaintiff has not sufficiently alleged that he was prejudiced or harmed or that he paid or could have paid the debt to stop the foreclosure. (See Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 104.)

Accordingly, the demurrer to the violation of Civil Code sections 2924, et seq. is SUSTAINED WITHOUT LEAVE TO AMEND.

Negligence

Defendants demur to the negligence cause of action on the grounds HBOR imposes no duty upon Defendants for negligence purposes, Plaintiff cannot prevail on a common law negligence claim under the economic loss rule, and Defendants’ alleged conduct did not

proximately cause Plaintiff's damages.

To bring an actionable negligence claim, the defendant owes a duty to the plaintiff proscribed by statute or common law. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 920.) Lenders do not owe a duty to borrowers by statute and have no special relationship with a borrower to avoid negligently causing monetary harm. (Id., at p. 938.)

In opposition, Plaintiff argues Sheen itself distinguishes theories such as negligent misrepresentation and promissory estoppel from the general negligence theory it rejected. Plaintiff further argues the complaint was meant to allege promissory estoppel and Plaintiff requests leave to amend to conform the pleading to the affirmative representations and reliance already alleged and plead promissory estoppel and/or negligent misrepresentation as appropriate.

Defendants, in reply, argue both the promissory estoppel and negligent misrepresentation claim would fail because Defendants never made a "clear and unambiguous promise" not to foreclose in the future.

The court finds Plaintiff has not sufficiently alleged a claim for negligence or promissory estoppel or negligent misrepresentation. As admitted by Plaintiff, Sheen bars this claim. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 915.) The complaint at most alleges Defendants made affirmative representations that the files were under review and the foreclosure was on hold. This is not enough under either theory.

Based on the foregoing, the demurrer to the negligence cause of action is SUSTAINED WITH LEAVE TO AMEND. As part of that leave, plaintiff may allege alternative theories of negligent misrepresentation or promissory estoppel.

UCL

Defendants demur to the UCL claim on the grounds Plaintiff lacks standing as he caused his own injury, Plaintiff cannot seek restitution or injunctive relief from Defendant and Plaintiff has not alleged any unlawful, fraudulent, or unfair conduct.

To meet the UCL's standing requirements, a plaintiff must "(1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that that economic injury was the result of, i.e., caused by, the unfair business practice". (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 322.)

Defendants argue the recorded Notices of Default show that Plaintiff defaulted on the Deed of Trust nearly 20 years ago – many times – and remains in default today. His defaults – not Defendants' actions – caused the foreclosure. Moreover, Plaintiff cannot obtain any restitution or injunctive relief against Defendants as Defendants do not currently retain any money or property that Plaintiff could reclaim. Finally, none of Defendants' alleged conduct was unlawful, fraudulent, or unfair.

In opposition, Plaintiff argues he alleges predicate statutory violations and that despite his defaults, causation still exists as proper completion of the modification process could have allowed the borrower to avoid foreclosure. He alleges Defendants undertook a loss-mitigation review, represented the sale was on hold, and nevertheless completed the sale before that represented review was resolved.

The court finds absent an alleged statutory violation, Plaintiff lacks facts showing that Defendants have engaged in any business practice which is unlawful, unfair, or fraudulent. The court notes in cases where systematic UCL violations are alleged, injunctive relief may be available to prevent similar conduct affecting other borrowers, even if restitution for the specific foreclosure is not feasible. The court notes the rule in *Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594 that UCL standing does not apply where a "foreclosure is the result of default, not the alleged conduct of defendants." However, California courts have recognized exceptions where the defendant's conduct - such as misrepresentations about loan modifications or dual tracking - independently causes or contributes to the foreclosure loss beyond the mere fact of default. The complaint here fails to sufficiently allege an exception.

Based on the foregoing, the demurrer is
SUSTAINED WITH LEAVE TO AMEND.